

Acme Corporation

Q3 2025 Earnings Report

Acme Corporation reported strong third-quarter results for fiscal year 2025, with revenue reaching \$4.2 billion, representing a 15% increase year-over-year. The company's strategic investments in cloud infrastructure and AI-powered services continued to drive growth across all major business segments.

EBITDA for the quarter was \$1.2 billion, with an EBITDA margin of 28.6%, expanding 180 basis points from Q3 2024. This margin improvement reflects the company's ongoing focus on operational efficiency and the higher-margin nature of its growing cloud business.

- Key highlights:
- ? Cloud services revenue grew 28% YoY to \$2.1 billion
 - ? AI accelerator chip revenue surged 180% to \$350 million
 - ? Free cash flow of \$890 million, up 22.8% YoY
 - ? Raised full-year revenue guidance to \$16.5-16.8 billion

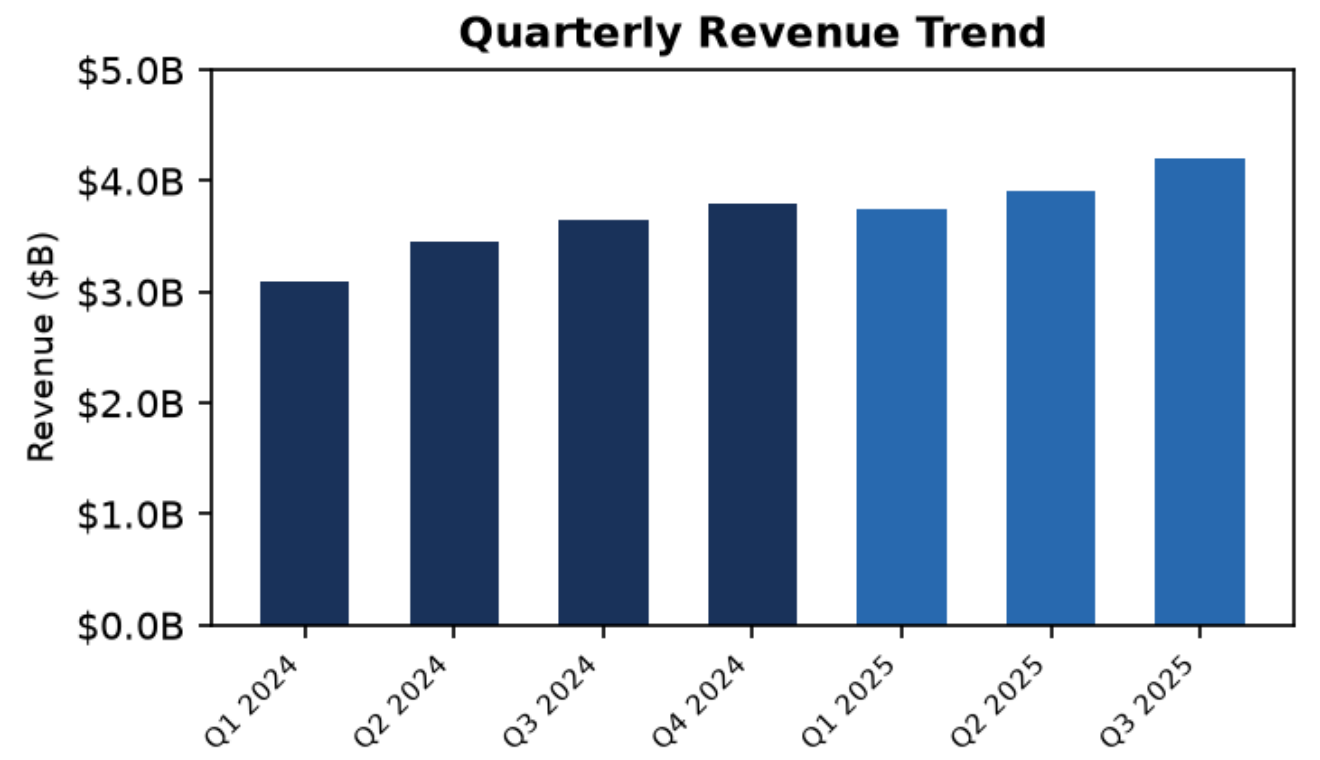


Figure 1: Quarterly Revenue Trend (FY2024-FY2025)

Revenue Breakdown by Segment

Metric	Q3 2025	Q3 2024	Change
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Total Revenue	\$4.2B	\$3.65B	+15.1%
Cloud Services	\$2.1B	\$1.64B	+28.0%
Enterprise SaaS	\$1.2B	\$889M	+35.0%
IaaS	\$650M	\$533M	+22.0%
Professional Services	\$250M	\$217M	+15.0%
Hardware	\$1.3B	\$1.28B	+1.6%
Server & Networking	\$800M	\$842M	-5.0%
AI Accelerators	\$350M	\$125M	+180%
Storage Solutions	\$150M	\$170M	-12.0%
Services	\$800M	\$714M	+12.0%
Managed IT	\$450M	\$417M	+8.0%
Cybersecurity	\$200M	\$160M	+25.0%
Training	\$150M	\$136M	+10.0%
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Gross Profit	\$2.52B	\$2.08B	+21.2%
Gross Margin	60.0%	57.0%	+300bps
EBITDA	\$1.2B	\$978M	+22.7%
EBITDA Margin	28.6%	26.8%	+180bps
Net Income	\$756M	\$612M	+23.5%
EPS (diluted)	\$3.15	\$2.55	+23.5%

Table 1: Detailed Financial Summary Q3 2025 vs Q3 2024

Q3 2025 Revenue by Segment

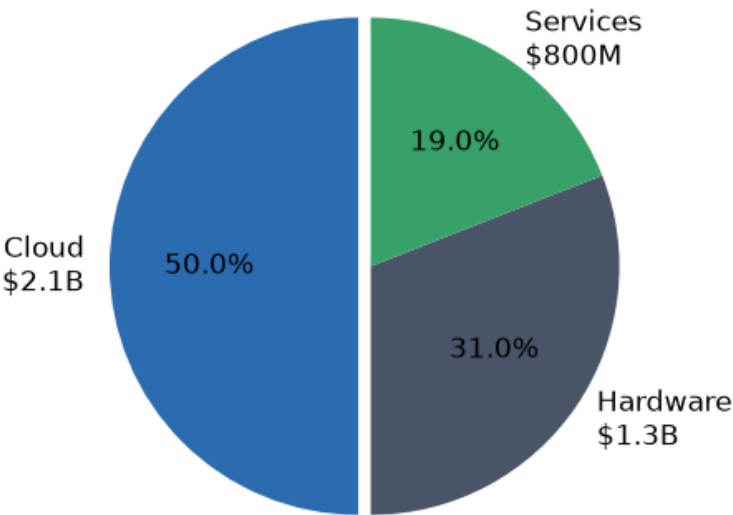


Figure 2: Revenue Distribution by Business Segment

Growth Trends & Strategic Outlook

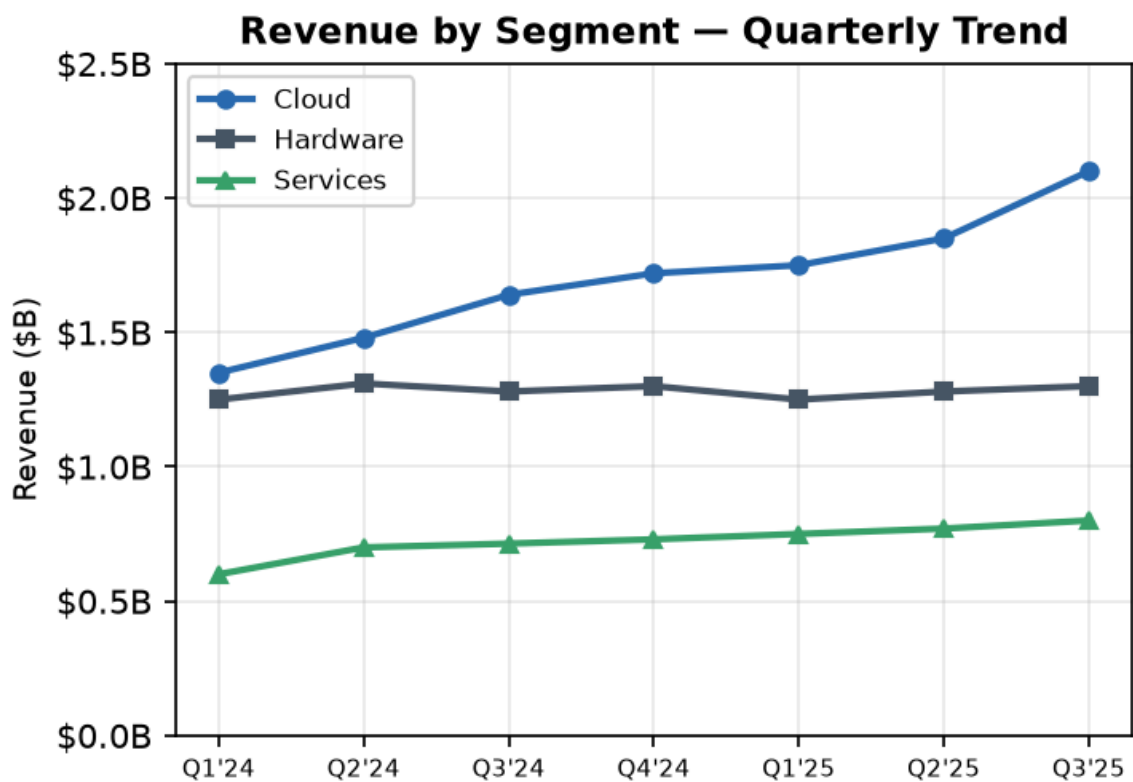


Figure 3: Revenue by Segment · Quarterly Trend

Strategic Outlook

Cloud services remain the primary growth engine, now representing 50% of total revenue compared to 45% a year ago. The company expects cloud to reach 55% of revenue by FY2026 as enterprise digital transformation accelerates.

The AI accelerator business, while still small at \$350M quarterly revenue, is growing at 180% YoY and represents the highest-margin hardware product. The company plans to double production capacity by Q2 2026.

Risk factors include increasing competition from hyperscalers (AWS, Azure, GCP), regulatory uncertainty around the EU AI Act (estimated \$50-75M annual compliance cost), and customer concentration (top 10 customers = 28% of revenue).

For Q4 2025, management guides for revenue of \$4.4-4.6 billion with EBITDA margin of 29-30%. Full-year 2025 guidance has been raised to \$16.5-16.8 billion.

Profitability & Geographic Analysis

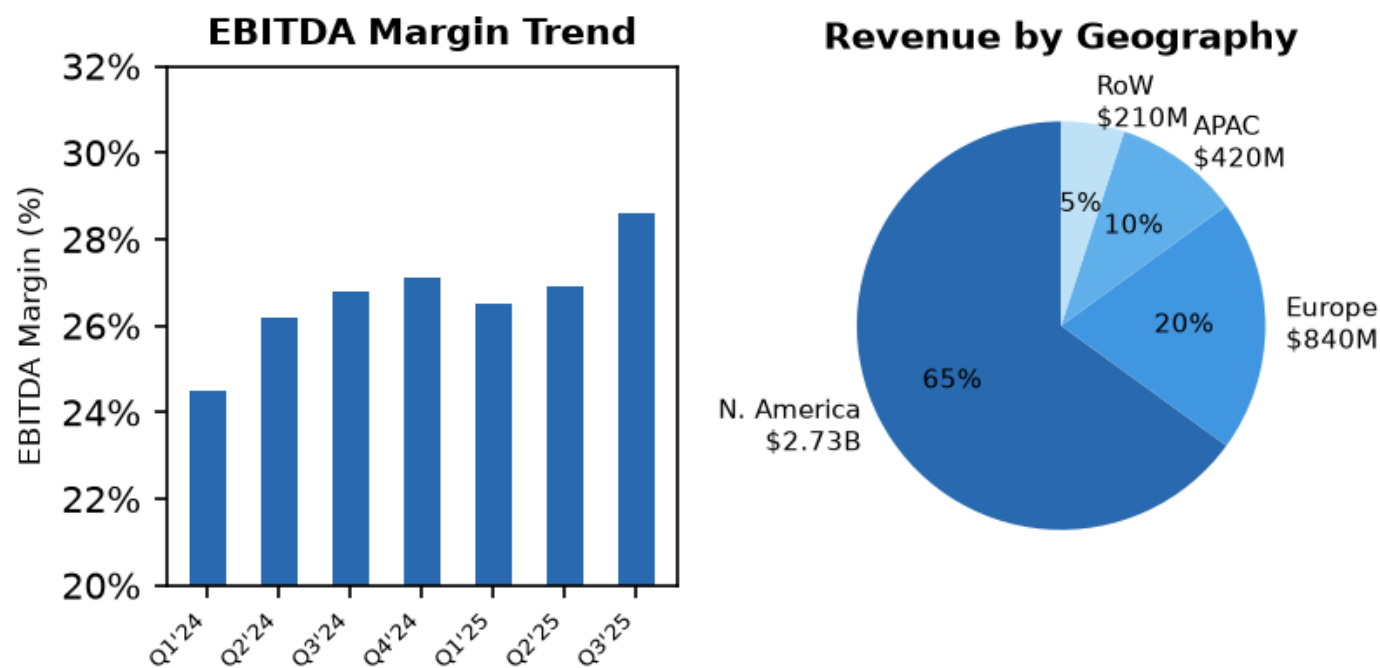


Figure 4: EBITDA Margin Trend and Geographic Revenue Distribution

Supply Chain & Key Suppliers

The company maintains strategic supplier relationships to ensure component availability and competitive pricing:

- ? NVIDIA: 45% of AI compute chips (primary GPU supplier)
- ? Intel: 30% of server CPUs
- ? AMD: 25% of server CPUs

Average component lead time has been reduced from 16 weeks to 12 weeks through improved supply chain management and strategic inventory buffers of \$450 million in critical components.

TechGiant Corporation remains Acme's largest customer, accounting for approximately 6% of total revenue through infrastructure purchases. Top 10 customers represent 28% of total revenue.

Note: All financial figures in US dollars. Non-GAAP measures exclude stock-based compensation and acquisition-related costs.